



PROBATE • INSIGHT

Living Trust vs. Probate: What Actually Avoids Court, and What Doesn't

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The single biggest lever for avoiding probate is a properly funded living trust, and the word "funded" is doing a lot of work in that sentence. A trust that exists on paper but was never actually funded with your assets does almost nothing, and it's one of the most common estate planning mistakes we see.

Why a trust avoids probate and a will doesn't

A will has to go through probate because it only takes legal effect after death, once a court confirms it's valid and appoints someone to carry it out. A living trust, by contrast, already owns the assets titled to it while you're alive, so when you pass away, the trustee simply distributes them according to its terms, no court process required.

Funding is the step people skip

Creating a trust document is only step one. Step two, retitling your house, bank accounts, and other major assets into the trust's name, is the part that actually makes it work, and it's the part people put off. An unfunded trust leaves those assets to pass through probate anyway, defeating the entire purpose.

Probate isn't always the enemy

For smaller or simpler estates, probate can be fast, cheap, and honestly not worth engineering around. Many states have simplified small-estate procedures specifically for this. A trust makes the most sense for larger estates, real estate in multiple states, or families where privacy and speed genuinely matter.

What ends up in probate anyway

Even with a trust, some things typically still go through probate: assets that were never retitled, accounts without a beneficiary designation, and property acquired after the trust was set up but never added to it. A periodic review of what's actually inside the trust matters as much as creating it in the first place.

If you already have a trust and aren't sure whether it's actually funded, that's worth checking now rather than finding out during probate.

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